

NutrYWell – Interview Summary | Director of Operations

Capture the Director of Operations' view of the current supply chain situation, service degradation mechanisms, and the constraints shaping customer communication and execution.

1. Executive snapshot (what the Director wants teams to understand)

The Director describes a supply chain that remains structurally strong on availability (In-Full is not the dominant concern), but increasingly fragile on execution capacity and customer promise reliability. The pressure is driven by two compounding forces: (1) order volume growth (more orders overall), and (2) higher handling friction (a larger share of orders requiring clarification and rework). As a consequence, service quality is deteriorating—not only in On-Time results, but also in the ability to proactively communicate with customers.

2. Data conventions clarified during the interview (to avoid confusion)

Invoice Date and Actual Receipt Date are identical in 100% of ERP lines. The Director clarified that these fields represent the same operational posting event (goods issue / billing event) rather than a proof-of-delivery timestamp at customer site.

Delivery/receipt dates are carrier-provided at day level. The case environment does not include an exact delivery hour/minute timestamp (dependency on carrier data feed).

3. Distribution footprint & stock transfer during acquisition integration

The Director explains that the acquired portfolio is historically operated in an old-system footprint with two hubs, and NutrYWell is executing a staged stock transfer toward a new dedicated hub in Belgium.

Branch/DC	Location	Role
ACQ-DC1	Belgium	Sport hub (old system)
ACQ-DC2	Netherlands	Overflow / cross-dock (old system)
BE-DC3	Belgium	Dedicated Sport hub for acquired portfolio (new)

According to the Director, the migration path moves inventory and flows progressively from ACQ-DC1 / ACQ-DC2 to BE-DC3. BE-DC3 becomes operational from 2026 and is expected to host 100% of the acquired products once the transfer is complete.

This hub choice is driven by capacity: the other hubs are expected to be close to ‘full’ and cannot absorb the total combined volume after acquisition. A dedicated hub therefore acts as the absorption point for incremental volume during the transition.

The Director clarifies that none of these hubs belongs to NutrYWell: all three are operated by external 3PL partners retained because NutrYWell has worked with them for years. Maintaining core operations in Belgium is considered beneficial because it provides stronger operational control and proximity for day-to-day coordination.

4. Service performance: On-Time deterioration + reactive customer communication

From the Director’s perspective, the main customer-facing risk is timeliness and responsiveness rather than product availability. In-Full is not viewed as a major issue because inventory buffers remain high and stock-outs are rare in this environment. The core concern is On-Time performance versus the requested/promised date—and the growing inability to proactively manage customer expectations.

4.1 On-Time trend (order-level, from the provided datasets).

Year	Orders (Outlook)	Outlook rework rate	Orders (ERP)	On-Time rate
2023	1,646	19.9%	1,646	86.2%
2024	4,716	27.6%	4,716	79.7%
2025	5,584	34.5%	5,584	71.8%

The Director interprets this as the visible symptom of capacity saturation: as both volume and rework rise, the organization struggles to maintain timeliness and consistency.

4.2 Customer communication reality (as stated by the Director).

The Director states that service deterioration is also visible in customer communication. When a customer will not receive the order by the requested date, there is currently no proactive alert system to trigger communication. ETA is not systematically shared with customers when dates slip.

As a result, the operating model is increasingly reactive: the team typically responds only when the customer contacts the company to ask where the order is, or when Sales escalates and asks for

status. In those cases, the team contacts the carrier to retrieve information and provides a best-effort answer—but there is no standardized, system-driven early warning mechanism.

5. Workload pressure: volume + rework + service trade-offs

The Director frames workload pragmatically: a sustainable operating model needs slack to absorb variability—an ‘ideal’ average load is closer to ~80% rather than 100%. He insists that workload pressure is not driven by rework alone; it is the combination of rising volume and a rising share of orders requiring clarification that makes the model fragile.

5.1 Workload levels communicated by management (and implied processing time).

Year	Order mgmt staff	Workload (mgmt estimate)	Capacity h/yr	Effective h/yr	Implied h/order
2023	2	85%	4,160	3,536	2.15
2024	4	90%	8,320	7,488	1.59
2025	4	110%	8,320	9,152	1.64

The Director highlights a key nuance: if the implied ‘hours per order’ seems to decrease on paper while service deteriorates, it can reflect a shift in what the team is able to do under pressure. In peak conditions, proactive activities are reduced first (status updates, follow-ups, detailed reporting), and the team prioritizes ‘shipping the orders by any means’ over providing consistent customer updates.

5.2 -2026 pressure point (planning concern).

Looking forward, the Director expects a material increase in order intake in 2026 as the acquired portfolio fully transitions to BE-DC3 and volumes continue to grow. As a planning scenario, he discusses an order increase of roughly +25% versus 2025 ($\approx 6,980$ orders/year). He expresses concern that the team already struggles to manage current volumes, and questions how service can be secured under this additional load.

In the short term, the Director states that deploying a new end-to-end system is not realistic. The immediate requirement is to secure deliveries and manage customer expectations more effectively despite limited tooling and increasing workload.

6. Customer is king... but small orders create economic tension

A recurring theme is the tension between commercial ambition and unit economics. Commercial teams push to accept and serve all orders to protect customer satisfaction and brand perception. Operations acknowledges the importance of customer service, but flags that very small orders can become economically inconsistent once fixed logistics costs are considered.

To illustrate the directional effect, the Director references a simple proxy analysis using standard product cost and transport tariff parameters: product gross profit minus estimated transport cost. This is not a full P&L, but it highlights why profitability becomes sensitive to basket size when fixed costs dominate.

Channel	Orders	Avg order value (€)	% orders < €100	% orders with negative contribution proxy
Retail	4,715	3449.6	0.4%	0.7%
E-commerce	3,358	54.0	86.2%	91.0%
Retail Sport	2,382	4871.0	0.2%	0.3%
Pharmacy	1,491	319.7	26.0%	36.1%

7. Questions from the Director to the consulting team (short / mid / long term)

The Director closes the interview with a practical request: the organization must ‘secure delivery—by the door or by the window’ while the operating model is under pressure. He asks the consulting team to structure actions across time horizons, considering systems/tools, staffing, process design, and infrastructure constraints.

Short term (0–3 months): What can be done immediately with current systems to improve customer expectation management and execution reliability?

Mid term (3–12 months): What process and tooling evolutions would reduce rework and stabilize performance without a full system replacement?

Long term (12+ months): What target operating model (systems, data, roles, and partner setup) is required to support continued growth sustainably?

Inventory angle: Given that In-Full is consistently high and replenishment volumes appear to exceed demand, how would you assess whether inventory levels are optimal by product family/DC while still protecting service levels (seasonality, launches)?

How does the multi-hub (3PL) footprint and the stock transfer toward BE-DC3 affect coordination and customer communication during the transition?